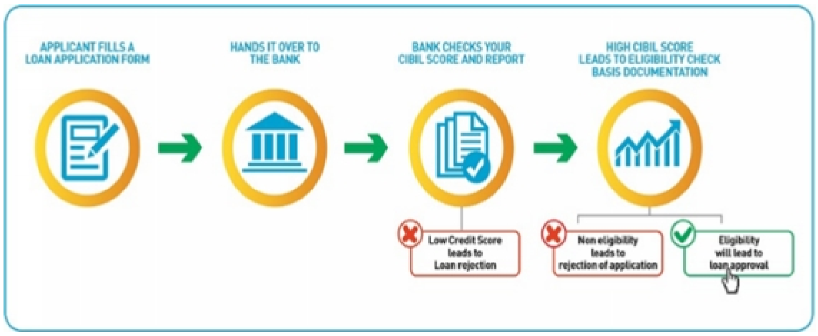
the whole point of building a line of credit is neglected. As a result, we function without realizing the wonders credit cards can do.

How credit score affects what you pay for a home



CIBIL website info for a loan evaluation process

From the above infographic, at the last step, when the bank concludes that you have good credit history and are trustworthy, they hash out the terms of the loan. Outside of India, the banks offer lower-interest for a good credit score. In India, people infer that a good credit score doesn’t offer leverage in interest negotiations and only acts as a gatekeeper for loan approvals [8] .

But you can negotiate a lower interest simply because you were prepared and have a good credit score. Consider the following narration:

The way every commercial bank works is: they take deposits at lower interest and prepare loans at higher interest. During bad patches or periods of high NPA’s (non-performing-assets) the bank will look to deleverage its exposure (cut down bad loans and make secured new ones).

This means their interest spread can be a little narrow: offering a lower interest for a sure-fire customer is better than a greater interest from high-risk, no record customer. Just like every negotiation, it pays to do your homework down to the bones.

Things you need to know/ carry into the manager’s office: